Foreign Trade and International Organisations

Control Questions — Full Question Pool

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1 Chapter 1 — The World Economy and National Accounts

1 The World as a Closed Economy *Multiple Choice*

The world economy is described as the only "closed economy". What does this imply?

(A) Global trade is regulated by a single world government.

(B) ✓ No external trading partner exists, so every import is simultaneously someone else's export, and the global current account is always zero.

(C) Global GDP cannot grow because there is no new demand.

(D) All currencies must be pegged to gold to prevent imbalances.

Solution

A closed economy has no rest-of-world sector. For the planet as a whole, every buyer has a seller and every import is someone else's export, so the *global* current account must net to zero. This does not mean that individual countries are in balance. The world economy is also *not* a zero-sum game: global production and wealth can grow over time through innovation and specialisation.

2 Orders of Magnitude *Multiple Choice*

Why does the script stress the importance of memorising a handful of "standard candle" economic figures (such as your home country's GDP)?

(A) To pass the written exam without additional study.

(B) ✓ To have reference points that give large economic numbers meaningful perspective, making it easier to judge whether a quoted figure is plausible.

(C) Because the WTO requires all traders to know national GDPs.

(D) To be able to convert between currencies without a calculator.

Solution

When dealing with large numbers — the cost of an oil tanker, the daily grain trade volume, the GDP of a commodity-dependent country — it helps to anchor them against known figures. If you know Germany's GDP is roughly $4 trillion, you can quickly judge whether a stated figure for a smaller economy is plausible. The script suggests treating these reference figures as mental "standard candles".

3 Fundamental Balance of the World Economy *Multiple Choice*

Which of the following is a direct consequence of the world economy being a closed system?

(A) Rich countries always grow faster than poor ones.

(B) Trade is only beneficial when globally balanced.

(C) Currency reserves are always constant worldwide.

(D) ✓ Every unit of global exports equals a unit of global imports; no country can run a surplus without another running a deficit.

Solution

Because the world has no external counterpart, every export transaction is simultaneously an import transaction for the receiving country. In aggregate, global exports equal global imports identically. An individual country can accumulate a surplus, but this is exactly mirrored by deficits elsewhere. This accounting identity holds regardless of exchange rate regimes or trade policies.

4 Global Trade is a Zero-Sum Game *True / False*

Because every exporter's gain corresponds to an importer's payment, global trade is a zero-sum game in which total wealth cannot increase.

☐ True ☑ **False**

Solution

False. Trade is *not* zero-sum. Voluntary exchange occurs because both parties expect to gain — each values what they receive more than what they give up. Additionally, specialisation according to comparative advantage raises total output, so the global production frontier expands. The world economy grows through trade, innovation, and division of labour, not merely through redistribution of a fixed stock of wealth.

5 Why Do "Orders of Magnitude" Matter in Foreign Trade Analysis? *Open Question*

The script advises students to develop a sense of scale for large economic figures. Explain why this skill matters when analysing foreign trade data, and give two concrete examples of how it can expose misleading claims.

Solution

Trade data involves very large numbers (billions of USD, millions of tonnes) that are easy to misrepresent or misinterpret without reference points. A sense of scale allows the analyst to detect implausibly large or small claims and to contextualise statistics properly.

Example 1: A news headline claiming that a country "earned $500 billion from coffee exports" is immediately suspect if you know that the entire global coffee market is worth roughly $100 billion per year.

Example 2: A company reporting that it "controls 5% of the global copper market" can be evaluated only if you know that annual global copper production is around 22 million tonnes — 5% would be roughly 1.1 million tonnes, a significant but plausible quantity for a major miner.

In both cases, a mental "standard candle" — total market size, a country's GDP, a commodity's annual production volume — allows rapid plausibility checking.

2 Chapter 2 — Freight and Transport

6 Incoterms *Multiple Choice*

Incoterms are defined by the International Chamber of Commerce. Their primary purpose in a trade contract is to specify:

(A) The currency in which payment must be made.

(B) The applicable import tariff rate for the good.

(C) ✓ Which party is responsible for which stage of the delivery chain, including transport, insurance, and the transfer of risk.

(D) The quality standards the good must meet at the border.

Solution

Incoterms are standardised three-letter codes (e.g. FOB, CIF, EXW, DDP) that define the point at which responsibility and risk transfer from seller to buyer. They specify who arranges and pays for inland transport, loading, ocean freight, insurance, and customs clearance in the importing country. Because ownership and risk transfer are among the most legally significant moments in any trade contract, Incoterms reduce disputes and transaction costs enormously.

7 Contango and Backwardation *Multiple Choice*

In commodity futures markets, "contango" describes a situation where:

(A) The spot price is higher than the futures price, indicating

excess supply.

(B) ✓ The futures price is higher than the spot price, reflecting storage costs, insurance, and the cost of carry.

(C) Prices collapse because sellers outnumber buyers.

(D) A commodity cannot be traded on an exchange.

Solution

Under normal conditions, **contango** holds: buying a commodity now and storing it costs money (warehouse fees, insurance, financing), so the futures price exceeds the spot price. **Backwardation** is the opposite: the spot price exceeds the futures price, which can occur when there is an immediate shortage or very high convenience yield. Understanding the term structure of futures prices is essential for hedging trade risk.

8 Value Chain: Upstream vs. Downstream *Multiple Choice*

In the commodity value chain, which of the following activities is *most upstream*?

(A) Branding and retail distribution to consumers.

(B) Assembly of manufactured consumer goods.

(C) Refining a raw material into an intermediate product.

(D) ✓ Mining or harvesting the raw material.

Solution

Upstream activities are closest to the resource: mining, drilling, harvesting. Moving downstream, raw materials are refined, then used to produce intermediate goods, which are assembled into manufactured wares, branded, and distributed through wholesale and retail channels. Value is added (and costs incurred) at every stage. Most of the final consumer price typically reflects downstream activities — branding, marketing, distribution — not the raw material itself.

9 Physical and Financial Fulfilment Are Independent *True / False*

In an international trade contract, the physical delivery of goods and the financial payment are legally separate events that can occur at different times and places, and must both be explicitly specified.

☑ **True** ☐ False

Solution

True. A trade contract has two sides: *physical fulfilment* (the seller transfers the good to the buyer) and *financial fulfilment* (the buyer pays the seller). The time, place, and conditions for each must be specified in the contract, because they determine when risk and ownership transfer, what insurance is needed, and what happens in case of default. Incoterms govern the physical side; payment terms (letter of credit, open account, etc.) govern the financial side.

10 Why Did Technological Progress Historically Drive the Expansion of International Trade? *Open Question*

Using examples from the history of trade outlined in the script, explain how reductions in transportation costs and financial innovations enabled trade to expand across longer distances and larger volumes.

Solution

Transport innovations directly lowered the cost per tonne-kilometre. The discovery of America opened new trade routes; the Suez Canal halved the journey from Europe to Asia; the steam boat replaced unpredictable wind power; and containerisation in the 20th century standardised loading and dramatically cut handling costs. Each innovation made previously unprofitable trade routes commercially viable.

Financial innovations reduced the risk of long-distance trade. Paper money and the banking system meant that merchants no longer needed to ship precious metals across oceans. Bills of exchange and letters of credit enabled payment without physical currency transfer. Insurance products covered cargo loss. Futures and forward contracts allowed traders to lock in prices and hedge against exchange rate movements during long voyages.

Together, these innovations made international trade safer, cheaper, and faster — explaining the long-run trend towards greater openness and globalisation.

3 Chapter 3 — Terms of Trade and the Effects of Trade

11 Winners and Losers from Trade *Multiple Choice*

When a domestic market opens to free trade and cheaper imports arrive, which group typically experiences the sharpest welfare loss?

(A) Consumers of the imported good.

(B) ✓ Domestic producers of the import-competing good.

(C) Logistics companies and port operators.

(D) Foreign exporters who now supply the market.

Solution

Cheaper imports lower the domestic price, which benefits consumers but undercuts domestic producers. Those producers may be forced to reduce output, lay off workers, or exit the market entirely. Because they are often locally concentrated and well organised, they tend to lobby strongly against trade liberalisation — even though aggregate consumer gains typically exceed producer losses. This asymmetry between concentrated losers and diffuse winners is a central theme in the political economy of trade.

12 Terms of Trade *Multiple Choice*

The "terms of trade" of a country are defined as:

(A) The tariff rates applied at the border.

(B) The Incoterms agreed between buyer and seller.

(C) ✓ The ratio of a country's export price index to its import price index.

(D) The legal conditions set by the WTO for bilateral agreements.

Solution

The **terms of trade** measure the relative price of exports versus imports. An improvement (the ratio rises) means each unit of exports buys more imports — a gain in purchasing power. A deterioration hurts countries dependent on imports (e.g. oil importers after a price spike). Commodity exporters are particularly exposed to terms-of-trade shocks, since their export revenues depend on world commodity prices they cannot control.

13 Producer Lobbying and Trade Policy *Multiple Choice*

Why do producers often succeed in obtaining trade protection even when the aggregate welfare case for free trade is strong?

(A) International law obliges governments to protect domestic producers.

(B) ✓ Producers are concentrated, well-organised, and face large per-person losses; consumers are diffuse and face small individual losses, so they rarely lobby effectively against protection.

(C) Trade theory is silent on the distributional effects of trade.

(D) Consumers always benefit from tariffs, so they support protection.

Solution

This is a classic **political economy** argument. When a factory closes in a single town, all affected workers have a strong, visible incentive to organise and lobby. The cost of the resulting tariff is spread across millions of consumers who each pay a few euros more per year — too little to justify individual political action. The result is systematic over-representation of producer interests in trade policy, even when the aggregate welfare cost of protection is large.

14 Free Trade Always Benefits Every Citizen *True / False*

Free trade is welfare-maximising in the aggregate, which means every citizen of every trading country is made better off when trade opens.

☐ True ☑ **False**

Solution

False. Free trade raises *aggregate* welfare, but the gains and losses are distributed unevenly. Consumers and efficient exporters gain; producers of import-competing goods lose. In principle, winners could compensate losers (Kaldor-Hicks criterion), but this compensation rarely occurs automatically. The existence of domestic losers explains why trade liberalisation generates political resistance even in countries that benefit overall.

15 Explain How Trade Creates Both Winners and Losers Within a Single Country *Open Question*

Using the concept of the trade value chain and the supply-demand diagram, explain why opening a market to free trade benefits some domestic agents and harms others. What determines who wins and who loses?

Solution

When a country opens to trade and the world price of a good is *below* the autarky price, imports flow in and the domestic price falls to the world level.

Winners: Domestic consumers gain consumer surplus (the price is lower). Traders, logistics companies, and ports benefit from higher trade volumes. Domestic producers of goods that are now *exported* (where the world price exceeds the autarky price) also gain.

Losers: Domestic producers of import-competing goods face lower prices and may be forced out of the market. Workers in those industries may lose jobs. If the affected industry is geographically concentrated (a "company town"), entire communities can be negatively affected.

What determines the split? The elasticities of supply and demand, the share of the good in household budgets, the labour intensity of the industry, and the ease of retraining and relocation. The script notes that producers are typically better organised and lobby more effectively than consumers, which is why protection survives despite aggregate welfare losses.

4 Chapter 4 — Trade Theory

16 The Wealth of Nations and Division of Labour *Multiple Choice*

According to Adam Smith (1776), what is the foundation of a nation's wealth?

(A) Accumulation of gold and silver reserves.

(B) Military strength and control of trade routes.

(C) ✓ The division of labour, which raises productivity through specialisation.

(D) High tariff barriers that protect domestic industry.

Solution

Smith's central insight in *The Wealth of Nations* is that **the division of labour** drives productivity. By specialising in narrow tasks, workers become more skilled and efficient, and complex goods can be produced at lower cost. This principle scales up from individuals to firms to nations: countries specialise in what they do relatively best, trade the surplus, and import what others produce more cheaply. The result is mutual gain.

17 Comparative Advantage *Multiple Choice*

Ricardo's principle of comparative advantage states that a country should export a good when:

(A) It can produce the good with absolutely fewer inputs than any

other country.

(B) Its government has declared the good a strategic industry.

(C) ✓ Its opportunity cost of producing that good is lower than its trading partner's, regardless of absolute productivity.

(D) World demand for the good is growing faster than world supply.

Solution

Comparative advantage is about *relative* (opportunity) costs, not absolute productivity. Even if Country A is more productive than Country B in every sector, trade is still mutually beneficial: each country specialises where its opportunity cost is lowest. Country A exports the good in which its productivity advantage is largest; Country B exports the good in which its disadvantage is smallest. Both end up consuming more than in autarky.

18 Reasons for Trade *Multiple Choice*

Which of the following is *not* listed in the script as a reason why countries trade?

(A) To obtain goods that require a different climate or resource base.

(B) To dispose of surplus production.

(C) ✓ To comply with mandatory WTO membership obligations.

(D) To maximise profits through arbitrage and resale.

Solution

The script identifies genuine economic motivations: obtaining goods you cannot produce (different climate/resources/know-how), exporting surpluses, exploiting comparative advantage, and profit-seeking through arbitrage. WTO membership imposes disciplines on trade policy (tariff bindings, MFN), but it does not *compel* countries to trade; it constrains how they may restrict trade. Trade itself is driven by economic incentives, not legal mandates.

19 Dumping Is Always Illegal *True / False*

Selling goods on foreign markets at a price below the domestic price or below the cost of production — a practice known as dumping — is automatically illegal under WTO rules.

☐ True ☑ **False**

Solution

False. Dumping is not automatically illegal under WTO rules. The WTO Anti-Dumping Agreement permits importing countries to impose anti-dumping duties, but only after a formal investigation confirms dumping has occurred, domestic industry has been harmed, and the two are causally linked. The process is lengthy and contested. Many dumping cases are driven by political pressure from domestic industries rather than clear economic harm.

20 Why Are the Decisions of What to Produce and What to Trade "Intrinsically Linked"? *Open Question*

The script states that "we do not just trade things that we happen to have, but we have things so that we can trade." Explain this idea and its implications for how we understand the gains from trade.

Solution

In a simple barter or endowment model, trade is purely about exchanging surpluses. But in a modern economy, production decisions are made *in anticipation of* trade. A coffee farmer in Ethiopia does not grow coffee for personal consumption; they grow it to sell on world markets and purchase other goods with the proceeds. A German car manufacturer designs and produces vehicles specifically for export.

This means the gains from trade are not limited to exchanging pre-existing surpluses — trade actively *reshapes* what countries produce. Countries develop industries in which they have comparative advantages because world markets reward specialisation. Without trade, those industries would not exist at their current scale.

The implication is that the gains from trade are larger and more dynamic than a static endowment model suggests: trade encourages learning-by-doing, scale economies, and investment in productive capacity aligned with comparative advantage.

5 Chapter 5 — The State, Taxes and Tariffs

21 Government Expenditure Ratio *Multiple Choice*

The government expenditure ratio (state quota) is calculated as:

(A) Tax revenue divided by total government debt.

(B) ✓ Total government spending divided by GDP.

(C) The share of the workforce employed by the public sector.

(D) Defence spending as a percentage of the national budget.

Solution

The **state quota** $SQ = G/Y$ measures how large the public sector is relative to the economy. It varies widely: France at around 58%, Germany at 49%, the USA at 36%, Saudi Arabia at 28%, Pakistan at 20%. High-income countries tend to have larger state quotas, reflecting more extensive welfare states. War efforts and crises (as Ukraine illustrates) sharply increase the ratio.

22 Role of the Central Bank *Multiple Choice*

Which of the following best describes the primary functions of a central bank?

(A) To compete with commercial banks for retail deposits.

(B) ✓ To maintain price stability, regulate the banking system, manage the money supply via interest rates and open market operations, and act as lender of last resort.

(C) To negotiate international trade agreements on behalf of the

government.

(D) To collect income taxes and distribute social transfers.

Solution

The central bank is a unique public institution that holds the privilege of issuing currency. Its main tools include setting the **interest rate**, conducting **open market operations** (buying/selling government bonds), setting **minimum reserve requirements**, and regulating commercial banks. Most modern central banks are formally *independent* of government to prevent short-term political pressure from compromising price stability.

23 Externalities and the Case for Taxation *Multiple Choice*

A factory produces steel but also emits pollutants that impose health costs on nearby residents. In the absence of regulation, the factory will:

(A) Voluntarily reduce pollution to maximise social welfare.

(B) ✓ Over-produce, because it does not bear the external costs of pollution, so private marginal cost is below social marginal cost.

(C) Under-produce, because it pays compensation to residents.

(D) Produce at the socially optimal level, because markets are efficient.

Solution

Externalities are costs (or benefits) imposed on third parties that are not reflected in market prices. When pollution is a negative externality, the firm's private marginal cost lies *below* the social marginal cost. The firm therefore produces too much relative to the social optimum. A **Pigouvian tax** equal to the marginal external cost can internalise the externality and restore the efficient output level.

24 The Statutory and Economic Incidence of a Tariff Always Coincide

True / False

The party legally required to pay a tariff — typically the importer — always bears the full economic burden of that tariff.

☐ True ☑ **False**

Solution

False. The *statutory* incidence (who writes the cheque) differs from the *economic* incidence (who ultimately bears the cost). An importer pays the tariff to customs but may pass some or all of it forward to consumers through higher prices, or absorb part of it through lower margins depending on the elasticities of supply and demand. In a small country, a tariff raises the domestic price and the burden falls on domestic consumers; foreign exporters are unaffected.

25 What Are the Main Types of Government Policy, and How Do They Interact in an Open Economy? *Open Question*

The script distinguishes between fiscal, regulatory, and monetary policy. Explain each briefly and discuss how they interact when a country is exposed to international trade.

Solution

Fiscal policy involves government spending and borrowing (and implicitly, taxation). Expansionary fiscal policy raises aggregate demand; in an open economy, some of that demand leaks abroad as imports, reducing the domestic multiplier effect.

Regulatory policy covers rules, standards, tariffs, quotas, and obligations imposed on private actors. Trade-related regulations (tariffs, non-tariff barriers, product standards) directly affect import and export volumes.

Monetary policy is managed by the (ideally independent) central bank via interest rates and open market operations. In an open economy, interest rate changes affect capital flows and the exchange rate: a rate rise attracts capital inflows, appreciating the currency, which makes exports more expensive and imports cheaper.

Interaction: A fiscal stimulus can be partially offset if the central bank raises rates to contain inflation, appreciating the currency and reducing net exports. Tariffs that raise net exports have a macroeconomic effect similar to fiscal stimulus (rightward shift of IS). The three policy types must therefore be considered jointly in an open economy context.

6 Chapter 6 — Subsidies in an Open Economy

26 Production Subsidy vs. Export Subsidy *Multiple Choice*

A *production subsidy* differs from an *export subsidy* in that:

(A) A production subsidy is funded by tariff revenue; an export subsidy is not.

(B) Only an export subsidy is subject to WTO disciplines.

(C) ✓ A production subsidy lowers costs for both domestic and export sales; an export subsidy specifically targets goods sold abroad and may lower their price below the domestic market price.

(D) There is no meaningful economic difference between the two.

Solution

A **production subsidy** reduces a producer's costs across the board: output for both home and foreign markets increases. A **export subsidy** targets only exported goods, driving a wedge between the domestic and foreign price. This is particularly distorting because it can displace efficient foreign producers and may constitute dumping. The WTO's Agreement on Subsidies and Countervailing Measures (SCM) disciplines both, but export subsidies face stricter rules.

27 Welfare Effect of a Production Subsidy in an Open Economy *Multiple Choice*

In a small open economy, a production subsidy to a domestic industry (at the world price):

(A) Raises the domestic price above the world price.

(B) Leaves consumer welfare unchanged and reduces producer welfare.

(C) ✓ Increases domestic production and reduces imports, while leaving the domestic consumer price unchanged (equal to the world price).

(D) Creates a deadweight gain equal to the value of the subsidy.

Solution

Because the small country is a price-taker, the domestic consumer price remains at the world price. The subsidy lowers the effective cost to domestic producers, so they expand output. Since the market still clears at the world price, imports simply fall by the amount of the additional domestic production. Consumers are unaffected; producers gain; but the government (taxpayers) bears the subsidy cost. The net welfare effect is negative: the subsidy cost exceeds the producer surplus gain (deadweight loss triangle).

28 Dumping and Export Subsidies *Multiple Choice*

An export subsidy that causes the export price to fall below the cost of production may constitute dumping. Why is this considered harmful by importing countries?

(A) It raises prices for consumers in the importing country.

(B) ✓ Artificially low prices can drive efficient domestic producers out of business; once competitors are eliminated, the subsidising country may raise prices to monopoly level.

(C) It automatically violates GATT Article I (MFN principle).

(D) It reduces the subsidising country's GDP.

Solution

The harm from dumping is dynamic: in the short run, consumers in the importing country benefit from low prices. But if domestic producers exit the market and cannot easily re-enter, the exporter acquires market power and may subsequently raise prices. This is the *predatory pricing* logic applied to trade. Importing countries may respond with **anti-dumping duties** under WTO rules after a formal injury investigation.

29 Subsidies Always Increase Net Social Welfare *True / False*

A subsidy transfers resources from taxpayers to a domestic industry, but because it increases output and reduces imports, it always raises total net social welfare.

☐ True ☑ **False**

Solution

False. A production subsidy creates a *deadweight loss*: the subsidy cost paid by taxpayers exceeds the producer surplus gain. The additional domestic production is supplied at a cost higher than the world price (otherwise domestic producers would have supplied it without the subsidy), meaning resources are used less efficiently than if the same goods were simply imported. Total welfare in the subsidising country falls. Subsidies may be justified on non-economic grounds (strategic industries, food security, environmental goals), but the economic efficiency cost is real.

30 How Do Export Subsidies Distort International Trade, and How Does the WTO Address Them? *Open Question*

Explain the mechanism by which an export subsidy distorts trade, who gains and who loses, and what instruments the international trading system provides to counter the distortion.

Solution

An **export subsidy** artificially lowers the price at which a country's producers can sell abroad. This expands exports, displaces competing producers in importing countries (who face unfair competition), and potentially depresses world prices for the subsidised commodity.

Who gains: Domestic producers in the subsidising country and consumers in importing countries (lower prices). **Who loses:** Taxpayers in the subsidising country (who fund the subsidy); domestic producers in importing countries; efficient third-country exporters who lose market share.

WTO instruments:

- The *SCM Agreement* prohibits certain export subsidies ("red light") and allows countervailing duties against injurious subsidies.
- The importing country may initiate a *countervailing duty* investigation and impose offsetting tariffs if injury is proven.
- Disputes can be brought to the *WTO Dispute Settlement Body*.

Agricultural export subsidies were a major issue in WTO negotiations and were finally eliminated (for most products) under the 2015 Nairobi Decision.

7 Chapter 7 — Multinational Enterprises

31 Herfindahl-Hirschman Index *Multiple Choice*

The Herfindahl-Hirschman Index (HHI) is calculated as $H = \sum_i a_i^2$, where a_i is each firm's market share. What does the HHI measure?

(A) A company's export intensity relative to domestic sales.

(B) ✓ Market concentration: the higher the HHI, the more the market is dominated by a few large firms.

(C) The degree of vertical integration in a supply chain.

(D) A country's balance of trade in a specific commodity.

Solution

The **HHI** ranges from near zero (perfect competition with many small firms) to 1 (or 10,000 if expressed in percentage points), which represents pure monopoly. Competition authorities (the EU Commission, the US Department of Justice) use it to assess whether mergers create problematic market concentration. A post-merger HHI above 2,500 (in percentage-point form) typically triggers scrutiny.

32 Transfer Pricing *Multiple Choice*

Transfer pricing is relevant to multinational enterprises because:

(A) It determines the official exchange rate used for intra-group payments.

(B) ✓ Prices set for transactions between subsidiaries of the same

corporate group can be manipulated to shift profits to lower-tax jurisdictions, reducing the group's overall tax bill.

(C) It sets the tariff applied when goods move between subsidiaries in different customs unions.

(D) It governs the cost of shipping goods between plants.

Solution

Transfer pricing refers to the prices charged on transactions within a multinational group (e.g. a subsidiary in a high-tax country selling an intermediate product to a subsidiary in a low-tax country at below-market price). By understating profits in high-tax countries and overstating them in low-tax havens, MNEs reduce their global tax burden. The OECD's *Base Erosion and Profit Shifting* (BEPS) project and country-by-country reporting requirements are designed to counter this.

33 Market Forms and Competition *Multiple Choice*

Which market structure is characterised by many sellers offering differentiated products, so that each firm has some price-setting power but faces competition from close substitutes?

(A) Perfect competition.

(B) Oligopoly.

(C) ✓ Monopolistic competition.

(D) Monopsony.

Solution

Monopolistic competition (Chamberlin) combines features of both monopoly and competition: many firms, free entry and exit, but each firm sells a differentiated product and thus faces a downward-sloping demand curve. Examples include restaurants, clothing brands, and petrol stations. In the long run, free entry erodes economic profit, but each firm still produces below the efficient scale (excess capacity theorem).

34 A Company Listed on a Stock Exchange Is Always Publicly Owned *True / False*

If a company is listed on a stock exchange, it is owned by the government.

☐ True ☑ **False**

Solution

False. A *listed* (publicly traded) company has shares that can be bought and sold on a stock exchange by private investors, funds, and institutions — it is *publicly traded* but not necessarily *publicly owned*. Government (state) ownership means the government holds the shares; this can occur in listed companies (partial state ownership) but is a separate question from listing status. Many MNEs are fully privately owned and listed; others are state-owned enterprises (SOEs) that may or may not be listed.

35 Why Is It Important to Look Beyond a Company's Own Published Information When Analysing an MNE? *Open Question*

Describe the limitations of using only a company's website and annual report as analytical sources. What additional information should a thorough analysis of a multinational enterprise include, and why?

Solution

Limitations of company-published information:

- Annual reports are audited but shaped by management; they emphasise strengths and legally required disclosures, not strategic weaknesses.
- Websites are marketing tools aimed at customers, employees, and investors, not independent analysis.
- Transfer pricing, tax structures, and lobbying activities are rarely highlighted.

Additional sources a thorough analysis should include:

- *Independent financial analysts* (broker reports, rating agencies) for profitability, debt levels, and competitive position.
- *Industry reports* from bodies such as the IEA, FAO, ICSG, or UNCTAD for market context and commodity fundamentals.
- *NGO and investigative journalism reports* for environmental, labour, and governance controversies.
- *Regulatory filings* (SEC 20-F for US-listed foreign firms, EU competition decisions) for legally required disclosures.
- *Competitors' reports* for an industry-wide perspective.

Only by triangulating these sources can the analyst form a balanced picture of the company's actual performance, risks, and strategic position.

8 Chapter 8 — International Law and Governance

36 Why International Law Is Different from National Law
Multiple Choice

International law is described as fundamentally different from domestic national law. What is the key reason?

(A) International law applies only to corporations, not to states.

(B) ✓ There is no world state and no supranational enforcement authority; all international cooperation is voluntary and relies on consent between sovereign states.

(C) International law is written by the UN Security Council and is fully binding on all nations.

(D) International law has no written form and relies solely on historical custom.

Solution

The absence of a **world state** is the defining feature. Domestic law can be enforced by courts and police; international law can only be enforced through diplomacy, retaliation, trade sanctions, or (in rare cases) UN Security Council action. Even the WTO Dispute Settlement Body can only authorise retaliation — it cannot compel compliance. Hugo Grotius (1583–1645), the father of international law, recognised this and built his framework on the idea of states voluntarily accepting norms of natural law.

37 The Most Favoured Nation Principle *Multiple Choice*

Article I of GATT requires WTO members to apply the Most Favoured Nation (MFN) principle. This means:

(A) The largest trading nation automatically receives the lowest tariff rate.

(B) Developing countries are exempt from all import duties.

(C) ✓ A WTO member may not charge any trading partner a tariff higher than the lowest tariff it charges to any other member, with the only permitted exception being membership of a recognised customs union or free trade area.

(D) Members must reduce tariffs to zero within ten years of joining.

Solution

MFN is the foundational non-discrimination principle of the multilateral trading system: if you give one country a tariff concession, you must give it to all WTO members. The only exception is for *free trade areas and customs unions* (GATT Article XXIV): members of such blocs may give each other preferential treatment without extending it to all WTO members. This exception has been the main driver of the explosion of Preferential Trade Agreements (PTAs) since the 1990s.

38 Degrees of Economic Integration *Multiple Choice*

Preferential Trade Agreements vary in depth. Ranking from shallowest to deepest integration, which order is correct?

(A) Customs union → free trade agreement → common market → economic union → currency union.

(B) Economic union → currency union → common market → customs union → free trade agreement.

(C) ✓ Free trade agreement → customs union → common market → economic union → currency union.

(D) Currency union → economic union → common market → free trade agreement → customs union.

Solution

The standard taxonomy of integration (Balassa, 1961) runs: **FTA** (no tariffs among members, separate external tariffs) → **Customs Union** (common external tariff) → **Common Market** (free movement of goods, services, capital, labour) → **Economic Union** (common regulatory/policy framework) → **Currency Union** (single currency). The EU has progressed to currency union for Eurozone members, while USMCA remains a free trade agreement.

39 The WTO Replaced GATT, Which No Longer Exists *True / False*

The World Trade Organization replaced the General Agreement on Tariffs and Trade (GATT) in 1995, and GATT is no longer legally in force.

☐ True ☑ **False**

Solution

False. GATT is still legally in force. The WTO incorporated GATT 1994 as one of its founding agreements, and the original GATT 1947 continues to have legal effect through transitional provisions. The WTO extended the framework to cover services (GATS) and intellectual property (TRIPS), which GATT did not address. The WTO is thus best understood as *built on top of* GATT, not as its replacement.

40 Why Has the MFN Principle Paradoxically Led to a Proliferation of Preferential Trade Agreements? *Open Question*

Explain the logic of the MFN principle and why — rather than promoting uniform global free trade — it has incentivised the formation of regional trade blocs.

Solution

The **MFN principle** requires that any tariff concession granted to one WTO member be extended to all others. This makes bilateral deals that favour only one partner illegal — unless the two parties form a recognised free trade area or customs union under GATT Article XXIV.

The **paradox:** Countries wishing to give preferential market access to close partners (for geopolitical or economic reasons) cannot do so bilaterally under MFN. The only legal route is to form a full FTA or customs union. This creates a strong incentive to establish such blocs, which proliferated dramatically from the 1990s onwards (EU enlargement, NAFTA/USMCA, ASEAN, Mercosur, CETA, JEFTA, etc.).

The result is a complex "spaghetti bowl" of overlapping PTAs with different rules, rather than the clean multilateral liberalisation GATT intended. The **ratchet principle** — tariffs can only fall, never rise — means these concessions lock in, further complicating the multilateral system. WTO members have effectively outsourced much of their trade liberalisation to the regional level.

9 Chapter 9 — Monetary Theory

41 The Three Costs of Money *Multiple Choice*

The script identifies three distinct costs associated with holding or lending money internationally. Which set is correct?

(A) Principal, commission, and exchange fee.

(B) ✓ The interest rate (i), inflation (π), and the risk of currency devaluation (ΔExp).

(C) Administration costs, custody fees, and transaction charges.

(D) Opportunity cost, sunk cost, and marginal cost.

Solution

When money is lent internationally, the lender faces three risks/costs: (1) the **interest rate** is the explicit price of credit; (2) **inflation** erodes the real purchasing power of the repayment; (3) **currency devaluation** reduces the value of a foreign-currency repayment when converted back to the home currency. Understanding all three is essential for pricing international bonds, setting exchange rate policy, and analysing the Balance of Payments.

42 Gresham's Law *Multiple Choice*

Gresham's Law, famously illustrated by Isaac Newton's failed attempt to favour silver over gold in England, states that:

(A) High interest rates always drive foreign capital out of a country.

(B) Governments that devalue their currency face inflation.

(C) ✓ "Bad money drives out good": when two currencies of different intrinsic value circulate at the same legal exchange rate, the overvalued currency circulates while the undervalued one is hoarded or exported.

(D) Paper money is always preferable to commodity money.

Solution

Newton decreed that gold would be exchanged for silver at a ratio of 1:21 (up from 1:20), believing this would encourage use of silver. Instead, gold was now *undervalued* by the new rate: foreigners imported gold (cheap by the official rate) and exported silver. This perfectly illustrates **Gresham's Law**: the artificially "cheap" money (silver, now overvalued officially) circulates; the money whose intrinsic value exceeds its official value (gold) disappears from circulation.

43 Structure of the Balance of Payments *Multiple Choice*

The Balance of Payments is divided into which main accounts?

(A) Trade Account and Reserve Account only.

(B) ✓ Current Account (goods, services, primary and secondary income) and Financial & Capital Account (direct investment, portfolio investment, reserve account).

(C) Fiscal Account and Monetary Account.

(D) Export Account and Import Account.

Solution

The **Current Account** records flows of goods (trade balance), services, primary factor income (wages, investment returns), and secondary income (transfers). The **Financial & Capital Account** records cross-border capital flows: foreign direct investment, portfolio investment (bonds, equities), other investment, and changes in reserve assets. By definition, the sum of all accounts is zero: a current account deficit must be financed by a capital account surplus.

44 Quantitative Easing Creates "Something from Nothing"
True / False

When a central bank buys government bonds through open market operations (quantitative easing), it creates new money without any corresponding liability, permanently increasing the nation's wealth.

☐ True ☑ **False**

Solution

False. Quantitative easing (**QE**) involves the central bank purchasing assets (government bonds, mortgage-backed securities) by crediting the sellers' reserve accounts. The central bank's balance sheet expands symmetrically — a new asset (the bond) and a new liability (the reserve credit). Wealth is not created from nothing; the central bank exchanges one asset for another. The economic effect is to lower long-term interest rates and increase money supply, stimulating credit and investment. Unwinding QE (quantitative tightening) reverses the process.

45 Explain the History and Function of the Banking System in Facilitating International Trade *Open Question*

Trace how the development of paper money, the giro system, and the banking sector reduced the frictions of long-distance trade. What risks did these innovations introduce, and how did regulation respond?

Solution

The friction problem: Early long-distance trade required shipping precious metals in the opposite direction of goods — dangerous, slow, and costly. Merchants needed a way to make and receive payment without physically moving gold or silver across oceans.

Innovations:

- The *bill of exchange* (Italian banking, Florence): a written promise to pay, allowing merchants to settle accounts by offsetting debits and credits at a central exchange point.
- The *giro system* (Hamburg 1619, Nuremberg, Venice): banks kept accounts and transferred balances without physical currency.
- *Paper money and banknotes* (Bank of England 1694, Banque de France 1800): convertible claims on the issuing institution, easier to transport than coin.
- *Stock exchanges and bond markets* (Bruges 1276, Amsterdam 1602): allowed risks to be pooled and long-term capital to be raised for trade ventures.

Risks introduced: Banks can create "book money" beyond their reserves, creating systemic risk if confidence collapses (bank runs).

Regulatory response: Central banks emerged as supervisors and lenders of last resort. Minimum reserve requirements and deposit guarantees were introduced to prevent self-fulfilling bank runs.

10 Chapter 10 — Macroeconomics in the Open Economy

46 The IS Curve *Multiple Choice*

In the IS-LM model, the IS curve represents:

(A) All combinations of interest rate and output where the money market is in equilibrium.

(B) ✓ All combinations of interest rate and output where the real goods market is in equilibrium, i.e. where investment equals savings ($I = S$).

(C) The relationship between inflation and unemployment (the Phillips curve).

(D) The effect of government spending on the exchange rate.

Solution

The **IS curve** is derived from the equilibrium condition in the goods market: investment (I) equals savings (S). Higher interest rates make borrowing expensive, depressing investment and hence output — so the IS curve slopes downward. Fiscal policy (government spending G, net exports NX) shifts the IS curve: a rise in G or in NX (e.g. from a tariff) shifts IS to the right, raising both output and the interest rate.

47 Crowding Out *Multiple Choice*

In the IS-LM model, when the government increases spending and shifts the IS curve to the right, the resulting higher interest rate

partially offsets the stimulus. This phenomenon is called:

(A) Quantitative easing.

(B) ✓ Crowding out.

(C) The Laffer effect.

(D) ✓ Crowding out.

Solution

Crowding out occurs because the fiscal stimulus raises output and income, increasing the demand for money (transactions motive). This pushes up the interest rate, which reduces private investment. The net increase in output is therefore *less than* the initial government spending increase. In an open economy, additional crowding out can occur if higher interest rates attract capital inflows and appreciate the currency, reducing net exports.

48 Effect of Expansionary Monetary Policy in the IS-LM Model *Multiple Choice*

A central bank expands the money supply, shifting the LM curve to the right. The new IS-LM equilibrium shows:

(A) Higher interest rates and higher output.

(B) Lower interest rates and lower output.

(C) ✓ Lower interest rates and higher output.

(D) Higher interest rates and lower output.

Solution

A rightward shift of the **LM curve** (more money available at each income level) lowers the interest rate for a given level of output. Lower rates stimulate investment and consumption, raising output. The new equilibrium is at a lower interest rate and higher output. However, the stimulus is also only partial: higher output raises money demand, partially offsetting the initial fall in the interest rate. This is why monetary and fiscal policy are sometimes used together.

49 A Tariff in the IS-LM Framework Has No Macroeconomic Effect *True / False*

Because tariffs are a microeconomic trade policy tool, they have no effect on the macroeconomic IS or LM curves.

☐ True ☑ **False**

Solution

False. A tariff reduces imports, raising net exports $NX = EX - IM$. An increase in NX is an increase in aggregate demand, which shifts the **IS curve to the right** — exactly the same macroeconomic effect as an increase in government spending. The script explicitly states this. Tariffs therefore have macroeconomic consequences: they raise output and the domestic interest rate, and may trigger retaliatory tariffs, trade wars, or exchange rate adjustments that partly or fully undo the initial stimulus.

50 Why Should Central Banks Be Independent of Government, and What Tensions Does This Create? *Open Question*

The script notes that "most central banks today act fully independent of the government." Explain the economic rationale for central bank independence and the potential conflicts this creates with elected governments.

Solution

Rationale for independence: Governments face electoral incentives to stimulate the economy before elections, even if doing so causes inflation. If the central bank were under government control, monetary policy would be systematically too loose, leading to a chronic inflation bias (Kydland-Prescott, time-inconsistency problem). An independent central bank can credibly commit to price stability because it does not face re-election pressure.

The IS-LM tension: Fiscal policy (IS curve) is set by the government; monetary policy (LM curve) is set by the independent central bank. If the government runs a large fiscal stimulus (rightward IS shift), the central bank may counter with tighter money (leftward LM shift) to contain inflation. The result is higher interest rates but little change in output — the two policies partially cancel out. This is the "obvious contradiction" the script mentions between fiscal and monetary policy.

Crisis tensions: During recessions, governments want the central bank to finance deficits ("monetary financing"). An independent central bank can refuse. The Eurosystem's prohibition on direct government financing (Art. 123 TFEU) was heavily contested during the Eurozone debt crisis and again during COVID-19.